Tube Investments of India Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Murugappa group holding and operating company. Its own businesses make precision steel tubes, auto chains and car door frames (engineering and metal-formed products) and bicycles. It owns 56% of CG Power (motors, transformers, railway equipment, semiconductors), 73% of Shanthi Gears, and is building new bets: electric trucks, three-wheelers, small vans and tractors (TI Clean Mobility), medical devices and a drug-making CDMO (3xper).

Number	Value	What it means
Market cap	Rs 44,275 cr	What the market says the whole group is worth; the stock has roughly halved from its 2024 peak.
Q2 FY27 standalone revenue	Rs 2,710 cr	Up 28% on a year ago; about 15% from volume, the rest steel price pass-through.
Q2 FY27 standalone profit before tax	Rs 253 cr	Flat on Rs 250 cr a year ago, because steel price hikes haven't been recovered from customers yet.
Q2 FY27 consolidated revenue	Rs 7,330 cr	Up 33%, mostly CG Power (Rs 3,802 cr, profit before tax up 44%).
Return on invested capital	44%	Very high for a manufacturer; the core business is capital-light.
Stock P/E	52.9x	Pricey; the market pays up for CG Power and the new businesses.

2. Concall coverage

Quarter	Date	Transcript read?
Q4 FY24 to Q2 FY25 (3 calls)	May-Nov 2024	Downloaded; scanned, text not extractable
Q3 FY25	4 Feb 2025	Yes
Q4 FY25	May 2025	Yes
Q1 FY26	4 Aug 2025	Yes
Q2 FY26	5 Nov 2025	Yes
Q3 FY26	4 Feb 2026	Yes
Q4 FY26	13 May 2026	Yes
Q1 FY27	17 Aug 2026	Yes
Q2 FY27	6 Nov 2026	Yes, latest call read in full ★

Screener's own download stalled, so all transcripts were taken from the company's NSE filings (the Q2 FY27 one was filed 11 Nov 2026). Eight calls read, about two years.

Latest concall highlights: Q2 FY27 (call held 6 Nov 2026)

- Standalone revenue Rs 2,710 cr (+28%) but profit before tax flat at Rs 253 cr: steel prices rose and customer price hikes come with a one-to-two-quarter lag. Management says it will recover fully, including what was lost.
- CG Power keeps carrying the group: revenue Rs 3,802 cr, profit before tax Rs 559 cr (+44%). Shanthi Gears' profit fell.
- TI Clean Mobility sales Rs 476 cr in the quarter; H1 already above all of last year. Losses still about Rs 150 cr a quarter, worsened by cell costs and a weak rupee. E-truck volumes 311 (from 86); truck business guided to EBITDA breakeven in Q4 FY27, two more next year.
- TI invested about Rs 250 cr more in Clean Mobility, alone; the outside investors haven't added money since their first Rs 2,250 cr.
- CDMO plant: clean room commissioned, validation batches finishing, regulatory approval about a year away. Medical (sutures) growing about 20%.

Business mix & capacity

Domestic vs export: Exports about 15% of standalone revenue, all from the engineering division; below the 20-25% once targeted.

Capacity use: Not disclosed for the core plants. E-truck and small-van businesses each have about 25% market share of their (small) segments.

3. Earning Trigger thesis

The core tube, chain and door-frame business is a steady, cash-generating compounder with 40%+ returns on capital, and CG Power is growing fast. The new trigger management points to is TI Clean Mobility, but it is still losing money after years of breakeven promises. In the near term, the visible driver is simply steel price recovery restoring core margins.

Trigger	What management said	Evidence so far	Time horizon	Strength
Core margin recovery	Steel price hikes will be recovered fully in one to two quarters	Not yet; profit flat on +28% revenue	Q3-Q4 FY27	Moderate
CG Power	Subsidiary growth	Profit before tax +44%	Now	Strong
TI Clean Mobility	Truck EBITDA breakeven Q4 FY27; two more next year; $1 bn revenue by 2030	Revenue growing, losses not shrinking	FY27-28	Weak: breakeven has slipped before
CDMO (3xper)	Commercial supply soon, approvals in a year	Clean room commissioned	FY28	Unproven
TI Medical	15-20% growth	About 20% growth	Ongoing	Moderate

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	
New business	Yes	CDMO clean room commissioned; IV cannula business being built under TI Medical (6 Nov 2026)
Margin up	No	Core margins fell on steel costs
New management	Yes	M.A.M. Arunachalam now Executive Chairman, leading calls with MD Mukesh Ahuja; Vellayan Subbiah led calls until early 2026
New capacity	No	
Big orders	No	
Turnaround	No	
Promoter buying	No	

The single concrete driver: Recovering delayed steel price hikes to restore core margins, with CG Power's growth and, later, Clean Mobility reaching breakeven as the bigger upside.

3c. Margin bridge

Standalone profit before tax is flat on 28% higher revenue, so margin fell sharply. The cause is steel and other input costs that customers repay with a lag. Management calls it temporary and expects full recovery within one to two quarters (one-off).

3d. Management changes

M.A.M. Arunachalam is now Executive Chairman and leads the calls with MD Mukesh Ahuja and CFO A.N. Meyyappan; Vellayan Subbiah, who led calls through early 2026, no longer appears. No change in strategy was announced (the T1/T2/T3 framework of core, new bets and acquisitions continues).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Feb-May 2025	Railway contract revives metal-formed margins from Q4 FY25	Metal-formed margins still flat to lower	Missed
Earlier	Exports to 20-25% of revenue	Stuck at about 15%	Missed
FY25-26	Clean Mobility businesses to break even	Pushed; truck now guided Q4 FY27	Missed
May 2025	FY26 free cash flow near PAT	Rs 826 cr, 100% of PAT	Delivered
Aug 2026	Steel cost recovery in one to two quarters	Still pending in Q2	Too-early
May 2026	Medical growth 15-20%	About 20%	Delivered

Narrative drift: The core business does what it says on cash and returns. The new-business story keeps getting extended: breakeven dates for Clean Mobility move out, CDMO took longer to get permissions, and export ambitions faded. Management is open about the delays, but the payback keeps moving.

5. Bottom line

Durable earning trigger? → MAYBE

The core is a steady compounder and CG Power is strong, but there's no fresh named driver showing in the standalone numbers this quarter, and Clean Mobility is still a cash drain with breakeven a promise.

Management consistent? → MAYBE

Reliable on cash flow and returns in the core, repeatedly late on the new bets and on export and margin targets.

6. Checkpoints for next quarter

- Core standalone margin recovers as steel price hikes come through
- Electric truck business reaches EBITDA breakeven in Q4 FY27
- CDMO plant starts commercial supply

This is not investment advice. Do your own due diligence.